Erudite Africa Connect

SECTOR INVESTMENT REPORT · ETHIOPIA

ICT and digital economy

Opportunities, published returns and incentives, drawn exclusively from reports by international institutions and the Government of Ethiopia.

PUBLIC EDITION

Erudite Africa Connect · Powering Smarter Business Decisions
Erudite Africa Investments PLC · Addis Ababa

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— Executive summary

Ethiopia opened its telecom market in 2021, and the World Bank reports that private investors committed more than $1 billion in license fees and a further $3 billion in investment while telecom prices fell by around 70 percent. Mobile money accounts grew from 12.2 million in 2020 to 139.5 million in 2025 according to the National Bank of Ethiopia, and with 15 percent active in the last 30 days there is wide room to grow payments, fintech and data services. The government has approved a Digital Ethiopia 2030 strategy, parliament passed a Startup Proclamation in July 2025, and the investment commission promotes software, business process outsourcing and data centers.

MOBILE MONEY ACCOUNTS
139.5 million (up from 12.2 million in 2020)

MOBILE MONEY ACCOUNTS ACTIVE IN THE LAST 30 DAYS
15 percent

MOBILE MONEY AGENTS
Over 540,000

DIGITAL TRANSACTIONS VALUE
9.7 trillion Birr, exceeding cash transactions

01 Key indicators

Indicator	Value	Period
Mobile money accounts	**139.5 million (up from 12.2 million in 2020)**	2025
Mobile money accounts active in the last 30 days	**15 percent**	2025
Mobile money agents	**Over 540,000**	2025 (strategy baseline)
Digital transactions value	**9.7 trillion Birr, exceeding cash transactions**	Fiscal year 2023/24
Internet users as share of population	**19 percent (up from 15 percent); at least 4 million new users**	2020 to 2024
Mobile penetration (unique subscribers)	**33 percent (up from 26 percent); 7 million new unique subscribers**	2020 to 2024
Fayda digital ID registrations	**30 million citizens**	December 2025 (statement by the National ID Program Coordinator)
Mobile voice subscribers	**75.6 million (96.5 percent of total subscribers)**	2023/24

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02 Returns and yields

Measure	Value	Period	Basis
Treasury bill weighted average yield, all tenors (benchmark)	**12.3 percent (down from 15.5 percent a year earlier)**	May 2026	Monthly weighted average yield on all Treasury bills, NBE Monetary Policy Committee No. 7 press release
91-day Treasury bill yield (benchmark)	**11.0 percent (down from 16.1 percent a year earlier)**	May 2026	Weighted average yield on 91-day Treasury bills
Bank lending interest rate (all sectors)	**Simple average 14.25 percent; range 7.00 to 21.50 percent**	2023/24	Commercial bank lending rates across the economy, not specific to ICT

No international institution or Ethiopian government source we reviewed publishes an average return on investment for this sector. The closest published indicators included are National Bank of Ethiopia Treasury bill yields (12.3 percent for all tenors and 11.0 percent for 91-day bills in May 2026) and the economy-wide bank lending rate (average 14.25 percent, range 7.00 to 21.50 percent, in 2023/24).

03 Investment opportunities

- **Payments, fintech and agent networks.** The draft National Digital Payments Strategy 2026-2030 plans a Fayda authentication service for payment providers, a consent-based data exchange framework, a private-sector-led credit reference bureau framework and a shared-agent platform. Digital credit, savings and insurance are under 1 percent of digital transaction value, against a 2030 target of 3 percent.
- **Data centers.** The investment commission lists data center establishment as an ICT opportunity and cites Red Fox's USD 130 million data center, which went live in 2022, and a Safaricom Ethiopia data center under construction since 2022.
- **Software development and BPO.** The investment commission promotes software development and business process outsourcing, and offers a 200-hectare ICT-dedicated industrial park in Addis Ababa.
- **Telecom infrastructure.** Safaricom made a long-term commitment of $8 billion in investment in addition to $1 billion in license fees, which led to 2,500 new cell towers; IFC contributed $1.5 billion in equity and MIGA around $1 billion in guarantees for its entry.
- **Listed telecom equity.** Ethio Telecom listed 10,690,149 shares on the Ethiopian Securities Exchange Main Market (ticker TELE) on May 26, 2026; the public offering drew more than 47,000 investors.
- **Digital ID-linked services.** World Bank support of over $630 million in IDA financing across three projects, including the $350 million Ethiopia Digital ID for Inclusion and Services project, targets Fayda coverage of 90 million people.

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04 Incentives

- Investors establishing a new enterprise are entitled to an income tax exemption that depends on the investment sub-sector; industrial park investors receive 2 years in Addis Ababa or its surrounding special zone and 4 years elsewhere.
- Investors may import duty-free capital goods and construction materials to establish a new enterprise; in sectors other than manufacturing and agriculture, investors with at least USD 200,000 and 50 permanent Ethiopian jobs may import duty-free capital goods for up to 5 years.
- The House of People's Representatives passed the Startup Proclamation in July 2025; the Minister described it as building a supportive environment for startups (specific incentive provisions were not stated in the government source reviewed).
- The Council of Ministers approved the Digital Ethiopia 2030 strategy in November 2025, aimed at building technological capacity, expanding infrastructure, strengthening governance and accelerating growth.

05 Points to consider

- Adoption is at an early stage: 15 percent of mobile money accounts were active in the last 30 days in 2025, about a quarter of registered agents actively operate, and merchant payments were 0.16 percent of digital transaction value in 2023/24. The NBE's draft 2026-2030 strategy plans a shared-agent platform, Fayda authentication and a data exchange framework to deepen usage.
- Consumer protection and cross-border flows are areas to plan for: fraud losses were ETB 1.3 billion in 2024 and a liability and compensation framework has yet to be defined, and outbound cross-border payments depend on foreign currency availability and capital account rules.
- The NBE strategy notes that market concentration and closed-loop systems can limit competition in digital payments, an area the strategy's shared-agent platform and data exchange framework are intended to open up.
- Data use per capita is 11.6 percent of the regional average, per World Bank telecom market benchmarking, so service and pricing models should be built for a market where usage is still growing.

A detailed risk and outlook assessment for a specific business or investment is part of Erudite Africa Connect's analyst due diligence. Contact us to arrange one.

References for members. Every figure and statement in this report is drawn from documents published by international institutions and the Government of Ethiopia. The full list of sources, with document titles, dates, page references and direct links, is included in the member edition, available free to registered Erudite Africa Connect members on the platform.

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